

|                                                        |        | No Strategy       |                   |        |
|--------------------------------------------------------|--------|-------------------|-------------------|--------|
|                                                        |        | Corporation       | Individual        | I-Tax% |
| <b>Net Income</b>                                      |        | <b>\$ 593,467</b> |                   |        |
|                                                        |        |                   |                   |        |
| <b>Reasonable W2 Compensation + Bonus(es)</b>          |        |                   | <b>\$ 100,000</b> |        |
| Officer W2 Compensation                                |        |                   | \$ 100,000        |        |
| Executive Bonus (Insurance premium)                    |        |                   | \$ -              |        |
| 2nd Bonus to Cover Tax Liability (Gross up)            |        |                   | \$ -              |        |
|                                                        |        |                   |                   |        |
| <b>Federal &amp; State Income Tax</b>                  |        |                   |                   |        |
| Federal Income Tax                                     | 21.00% | \$ 124,628        | \$ 8,030          | 8.03%  |
| Federal Capital Gains Tax 0%   15%   20%               |        |                   | \$ 89,020         | 15.00% |
| State Income Tax                                       | 8.84%  | \$ 52,462         | \$ 2,470          | 2.47%  |
| <b>Total Fed &amp; State Taxes (Lines 17-19)</b>       |        | <b>\$ 177,091</b> | <b>\$ 99,520</b>  |        |
|                                                        |        |                   |                   |        |
| <b>Payroll Tax</b>                                     |        |                   |                   |        |
| Social Security (pay up to \$176,100)                  | 6.20%  | \$ 6,200          | \$ 6,200          | 6.20%  |
| Medicare 1.45%                                         | 1.45%  | \$ 1,450          | \$ 1,450          | 1.45%  |
| Additional Medicare for over \$200k/\$250k MJ          |        |                   | \$ -              | 0.90%  |
| Federal Unemployment Tax (FUTA) (0.6%*7k)              | 0.60%  | \$ 42             |                   |        |
| State Unemployment Tax (SUTA) at 0.0% – 6.2% (6.2%*7k) | 6.20%  | \$ 434            |                   |        |
| Employment Training Tax (ETT) (0.1%*7k)                | 0.10%  | \$ 7              |                   |        |
| State Disability Insurance Tax (SDI) 1.2%              |        |                   | \$ 1,200          | 1.20%  |
| <b>Total Payroll Taxes (Lines 23-29)</b>               |        | <b>\$ 8,133</b>   | <b>\$ 8,850</b>   |        |
|                                                        |        |                   |                   |        |
| Total Corp   Indv Taxes                                |        | <b>\$ 185,224</b> | <b>\$ 108,370</b> |        |
| Corp   Indv Tax Impact                                 |        | <b>\$ -</b>       | <b>\$ -</b>       |        |
| Total Corp + Indv Taxes                                |        | <b>\$</b>         | <b>293,594</b>    |        |
| <b>Immediate Tax Impact (Corp + Indv)</b>              |        |                   |                   |        |

### Long Term Tax Savings

Tax-Free Retirement, funded through business expenses:

No Strategy

Corporation

Individual

I-Tax%

- Tax Free Growth
- Tax Free Distributions
- Reduce Tax Liability because distributions are not taxable income
- Tax Free Living Benefits
- Tax Free, Probate Free Death Benefits and transfer of wealth

|                                                        |        | Bonus 1      |             |         |
|--------------------------------------------------------|--------|--------------|-------------|---------|
|                                                        |        | Corporation2 | Individual2 | I-Tax%2 |
| <b>Net Income</b>                                      |        | \$ 467,474   |             |         |
| <b>Reasonable W2 Compensation + Bonus(es)</b>          |        |              | \$ 220,000  |         |
| Officer W2 Compensation                                |        |              | \$ 100,000  |         |
| Executive Bonus (Insurance premium)                    |        |              | \$ 120,000  |         |
| 2nd Bonus to Cover Tax Liability (Gross up)            |        |              | \$ -        |         |
| <b>Federal &amp; State Income Tax</b>                  |        |              |             |         |
| Federal Income Tax                                     | 21.00% | \$ 98,169    | \$ 32,076   | 14.58%  |
| Federal Capital Gains Tax 0%   15%   20%               |        |              | \$ 70,121   | 15.00%  |
| State Income Tax                                       | 8.84%  | \$ 41,325    | \$ 12,496   | 5.68%   |
| <b>Total Fed &amp; State Taxes (Lines 17-19)</b>       |        | \$ 139,494   | \$ 114,693  |         |
| <b>Payroll Tax</b>                                     |        |              |             |         |
| Social Security (pay up to \$176,100)                  | 6.20%  | \$ 10,453    | \$ 10,453   | 6.20%   |
| Medicare 1.45%                                         | 1.45%  | \$ 3,190     | \$ 3,190    | 1.45%   |
| Additional Medicare for over \$200k/\$250k MJ          |        |              | \$ -        | 0.90%   |
| Federal Unemployment Tax (FUTA) (0.6%*7k)              | 0.60%  | \$ 42        |             |         |
| State Unemployment Tax (SUTA) at 0.0% – 6.2% (6.2%*7k) | 6.20%  | \$ 434       |             |         |
| Employment Training Tax (ETT) (0.1%*7k)                | 0.10%  | \$ 7         |             |         |
| State Disability Insurance Tax (SDI) 1.2%              |        |              | \$ 2,640    | 1.20%   |
| <b>Total Payroll Taxes (Lines 23-29)</b>               |        | \$ 14,126    | \$ 16,283   |         |
| Total Corp   Indv Taxes                                |        | \$ 153,620   | \$ 130,976  |         |
| Corp   Indv Tax Impact                                 |        | \$ (31,603)  | \$ 22,606   |         |
| Total Corp + Indv Taxes                                |        | \$ 122,017   | \$ 153,582  |         |
| <b>Immediate Tax Impact (Corp + Indv)</b>              |        | \$ 8,997     |             |         |

**Long Term Tax Savings**  
**Tax-Free Retirement, funded through business expenses:**

| Bonus 1                                                             |              |             |         |
|---------------------------------------------------------------------|--------------|-------------|---------|
|                                                                     | Corporation2 | Individual2 | I-Tax%2 |
| - Tax Free Growth                                                   |              |             |         |
| - Tax Free Distributions                                            |              |             |         |
| - Reduce Tax Liability because distributions are not taxable income |              |             |         |
| - Tax Free Living Benefits                                          |              |             |         |
| - Tax Free, Probate Free Death Benefitis and transfer of wealth     |              |             |         |

- Tax Free Growth
- Tax Free Distributions
- Reduce Tax Liability because distributions are not taxable income
- Tax Free Living Benefits
- Tax Free, Probate Free Death Benefitis and transfer of wealth

|                                                        |        | Bonus 1 + 2 (Gross up) |                   |         |
|--------------------------------------------------------|--------|------------------------|-------------------|---------|
|                                                        |        | Corporation3           | Individual3       | I-Tax%3 |
| <b>Net Income</b>                                      |        | <b>\$ 444,540</b>      |                   |         |
| <b>Reasonable W2 Compensation + Bonus(es)</b>          |        |                        | <b>\$ 242,606</b> |         |
| Officer W2 Compensation                                |        |                        | \$ 100,000        |         |
| Executive Bonus (Insurance premium)                    |        |                        | \$ 120,000        |         |
| 2nd Bonus to Cover Tax Liability (Gross up)            |        |                        | \$ 22,606         |         |
| <b>Federal &amp; State Income Tax</b>                  |        |                        |                   |         |
| Federal Income Tax                                     | 21.00% | \$ 93,353              | \$ 37,531         | 15.47%  |
| Federal Capital Gains Tax 0%   15%   20%               |        |                        | \$ 66,681         | 15.00%  |
| State Income Tax                                       | 8.84%  | \$ 39,297              | \$ 14,678         | 6.05%   |
| <b>Total Fed &amp; State Taxes (Lines 17-19)</b>       |        | <b>\$ 132,651</b>      | <b>\$ 118,890</b> |         |
| <b>Payroll Tax</b>                                     |        |                        |                   |         |
| Social Security (pay up to \$176,100)                  | 6.20%  | \$ 10,453              | \$ 10,453         | 6.20%   |
| Medicare 1.45%                                         | 1.45%  | \$ 3,518               | \$ 3,518          | 1.45%   |
| Additional Medicare for over \$200k/\$250k MJ          |        |                        | \$ -              | 0.90%   |
| Federal Unemployment Tax (FUTA) (0.6%*7k)              | 0.60%  | \$ 42                  |                   |         |
| State Unemployment Tax (SUTA) at 0.0% – 6.2% (6.2%*7k) | 6.20%  | \$ 434                 |                   |         |
| Employment Training Tax (ETT) (0.1%*7k)                | 0.10%  | \$ 7                   |                   |         |
| State Disability Insurance Tax (SDI) 1.2%              |        |                        | \$ 2,911          | 1.20%   |
| <b>Total Payroll Taxes (Lines 23-29)</b>               |        | <b>\$ 14,454</b>       | <b>\$ 16,882</b>  |         |
| Total Corp   Indv Taxes                                |        | <b>\$ 147,105</b>      | <b>\$ 135,772</b> |         |
| Corp   Indv Tax Impact                                 |        | <b>\$ (38,119)</b>     | <b>\$ 27,402</b>  |         |
| Total Corp + Indv Taxes                                |        | <b>\$ 282,877</b>      |                   |         |
| <b>Immediate Tax Impact (Corp + Indv)</b>              |        | <b>\$ 10,717</b>       |                   |         |

### Long Term Tax Savings

Tax-Free Retirement, funded through business expenses:

|                                                                                                                                                                                                                                                                                                | Bonus 1 + 2 (Gross up)   |                         |                     |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------|-------------------------|---------------------|
|                                                                                                                                                                                                                                                                                                | Corporation <sup>3</sup> | Individual <sup>3</sup> | I-Tax% <sup>3</sup> |
| <ul style="list-style-type: none"> <li>- Tax Free Growth</li> <li>- Tax Free Distributions</li> <li>- Reduce Tax Liability because distributions are not taxable income</li> <li>- Tax Free Living Benefits</li> <li>- Tax Free, Probate Free Death Benefits and transfer of wealth</li> </ul> |                          |                         |                     |